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Data suggests that India Inc's net profit growth has been driven by revenue expansion, improved operating margins, and better cost management

FIRST, THE GOOD news. In a heartening sign of resilience, India's top companies posted robust growth in the past financial year after a two-year hiatus, benefiting from benevolent commodity cycles and cost management that helped them navigate otherwise tough market conditions at home and abroad.

Leavening that bit of cheer is a bit of bad news: uncertainty in West Asia despite the end of the US-Iran war. Even the status of Strait of Hormuz, the chokepoint for 60% of world oil trade, is unclear despite the truce.

Acknowledging the multiple clouds hanging over the economy, the Reserve Bank of India on June 5 cut its GDP growth forecast from 6.9% to 6.6% and raised its consumer price index (CPI)-based inflation forecast from 4.8% to 5.1%.

No wonder analysts are cautious. Shreyash Devalkar, Axis Mutual Fund's Head of Equity, for instance, says future corporate performance will hinge on evolving macroeconomic conditions. "Since the war started, there are changes in macroeconomic parameters and input costs while none of these got reflected in the last results season," Devalkar says.

The changes he is referring to are currency movements—the rupee has depreciated significantly against the dollar since the US and Israel declared war against Iran at the end of February; India's rising current account deficit (CAD) and impact on interest rates. Raw material, fuel prices and even packaging costs have risen.

PROFITS PIP REVENUE

To get back to the good news, in FY26, companies posted stronger profitability and improved balance sheets. Data from ACE Equity database shows that Nifty 500 compa-

nies posted a combined net profit of ₹18.2 lakh crore in FY26, a 14% increase over ₹15.9 lakh crore in FY25.

However, the pace of revenue growth was slow. The combined revenue of Nifty 500 companies increased close to 6% year-on-year (YoY) to ₹168 lakh crore in FY26.

While top line expansion has slowed, several industries delivered strong profit growth through better cost management, improved commodity cycles and healthier balance sheets. In FY27, corporate earnings are expected to be muted "as higher commodity prices weigh on margins and the demand environment," says Vikram Chhabra, senior economist at asset management firm 360 ONE Asset. He said one encouraging aspect of FY26 earnings were "green shoots in consumption, which had been lagging for the past few years."

"Consumption showed durable signs of recovery, with autos, FMCG and several discretionary categories seeing demand pick up through the second half, aided meaningfully by GST (goods and services tax) rationalisation," he added.

Aditya Khemani, Fund Manager at Invesco MF, says the corporate earnings pace had moderated after strong post-pandemic growth. "Over the last couple of years, corporate India's earnings growth has slowed. However, within this, there is a noticeable divergence, with large companies experiencing slower earnings growth compared to small-and mid-cap companies. While corporate India remains on a strong footing with healthy balance sheets and robust cash flow profiles, an acceleration in earnings growth from current levels is necessary," he says.

TRANSFORMATION

Over the past decade, Indian companies have undergone a significant